

Draft Testimony
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My name is Joseph R. Profaci, Executive Director of the North American Olive Oil Association (NAOOA), which represents 65 companies responsible for over 70% of olive oil consumed in the United States.

Potential tariffs resulting from section 301 investigations should not apply to products where such measures would contradict U.S. policy and impose unnecessary costs without advancing a remedial objective. Olive oil is one such product and should be excluded from any tariffs for two independent reasons.

First, olive oil constitutes an unavailable natural resource in the United States. Domestic production accounts for less than 2% of consumption, with imports supplying nearly all demand. This is not due to insufficient investment or market incentives, but to structural constraints—specifically climate and land suitability. Olive cultivation requires highly specific conditions (mild winters, dry summers, well-drained soils), which exist at commercial scale in very limited U.S. regions, primarily California. Even there, production has remained relatively stagnant despite rising demand and prices.

Expanding domestic production to replace imports is not feasible. Estimates suggest it would require roughly 1.4 million additional acres—an unrealistic shift given existing land, water, and labor constraints. Moreover, agricultural pressures in California, including water scarcity, may reduce available farmland rather than expand it. Historical trends confirm that domestic supply does not respond meaningfully to price increases, demonstrating that olive oil supply is not price-elastic. As a result, tariffs cannot stimulate domestic production or serve a corrective trade function.

Second, tariffs on olive oil directly conflict with U.S. public health policy. Federal guidance, including the Dietary Guidelines for Americans (2025–2030), actively promotes increased consumption of olive oil as part of a healthier diet. Raising prices through tariffs would discourage consumption and undermine these national health objectives, particularly efforts to reduce chronic disease through improved dietary patterns.

The consumer impact of tariffs is significant and regressive. Evidence shows that price increases reduce olive oil purchases, especially among lower- and middle-income households. For example, following recent price spikes, approximately 2 million fewer U.S. households purchased olive oil, with the decline concentrated among those earning under \$100,000 annually. Survey data further indicates broad concern across demographic groups that tariffs would make olive oil less affordable. These effects would disproportionately harm populations that stand to benefit the most from improved nutrition.

Finally, tariffs could discourage investment in the U.S. olive oil sector. Foreign-affiliated companies—many from Europe—have invested hundreds of millions of dollars in U.S. production, manufacturing, and distribution, supporting domestic capacity and job creation. These investments have been critical to the development of the U.S. olive oil industry and would be undermined by restrictive trade measures.

In sum, olive oil tariffs would neither expand domestic production nor address trade distortions. Instead, they would function as a tax on consumers, conflict with federal health policy, and risk deterring beneficial investment. For these reasons, olive oil should be excluded from any tariff actions under these investigations.